



PAPER – 4: DIRECT TAX LAWS & INTERNATIONAL TAXATION

The provisions of direct tax laws, as amended by the Finance Act, 2025 and the significant notifications and circulars issued upto 31.10.2025, are relevant for May 2026 examination. The relevant assessment year is A.Y.2026-27. The September, 2025 edition of the Study Material contains the provisions of direct tax laws as amended by the Finance Act, 2025 and notifications and circulars issued upto 31.7.2025. The said study material has to be read along with the Judicial Update for May, 2026 Examination webhosted at <https://resource.cdn.icai.org/90669bos-aps4077-ju-may2026.pdf>. Since there are no significant notifications/circulars issued between 1.08.2025 and 31.10.2025, Statutory Update is not issued for May 2026 Examination.



QUESTIONS

Case Scenario I

Mr. Nylon, a citizen of Country X, came to India on 14.07.2025. On 13.10.2025, he left India for China on a business trip. He came back on 28.02.2026 and stayed in India till 14.4.2026. He visits India every year for 85 days for providing technical services to Indian customers.

During his visits to India, Mr. Nylon carried on his professional activities from the same premises where he stayed as a paying guest. The premises were used as his base for rendering technical services, meeting client, and performing professional work relating to M/s PQR LLP only. He paid rent of ₹ 85,000 per month or part thereof to Mr. Amit (a salaried employee) for use of premises, and accordingly, the said premises constituted his fixed place of profession in India.

He earned the following income in India during the Previous Year 2025–26:

S. No.	Particulars of Income	Amount (₹)
(i)	Fees for technical services from XYZ Ltd. (under an agreement approved by Government of India)	25,00,000
(ii)	Fees for technical services from M/s PQR LLP (agreement not approved by the Government of India)	14,00,000
(iii)	Expenditure incurred for providing services at (i) above	4,00,000
(iv)	Expenditure incurred for providing services at (ii) above	4,00,000
(v)	Rental Income a let-out property located in Country X	12,50,000
(vi)	Interest on loan borrowed for let-out house property located in Country X	(2,80,000)
(vii)	Dividend income from Indian companies	8,00,000
(viii)	Income from mutual funds specified under section 10(23D) (units purchased in foreign currency)	75,000
(xi)	Interest on debentures of Indian company subscribed in foreign currency	1,50,000

Mr. Nylon is paying tax as per section 115BAC(1A).

His sister Mrs. Nile married to an Indian Citizen and reside in India. She is proprietor of M/s Dynasty Beauty Lounge. The assessment for the A.Y. 2024-25 of M/s Dynasty Beauty Lounge, was made under section 143(3) on 01.12.2025. The Assessing officer added ₹ 16,00,000 on account of unexplained expenditure. However, she contended before the CIT(A) that this is professional fees paid to a consultant but could not substantiate with any invoice. The CIT(A) did not accept the contention of the assessee and pass the order against her on 15.03.2026.

Note - DTAA between India and Country X need not be considered while answering the MCQs unless specified.

From the information given above, choose the most appropriate answer of MCQs 1 to 6:

1. What would be the residential status of Mr. Nylon in India for the P.Y. 2025-26?

- (a) Non-resident
 - (b) Resident and Ordinarily Resident
 - (c) Resident but Not Ordinarily Resident
 - (d) Deemed Resident but not Ordinarily Resident
2. What would be the total income of Mr. Nylon for the Assessment Year 2026-27?
- (a) 51,20,000
 - (b) 54,95,000
 - (c) 45,25,000
 - (d) 41,25,000
3. What would be tax liability of Mr. Nylon for the Assessment Year 2026-27?
- (a) ₹ 10,28,460
 - (b) ₹ 7,74,800
 - (c) ₹ 9,42,940
 - (d) ₹ 6,91,600
4. Determine the amount of tax to be deducted at source on Fees for technical services, considering that DTAA between India and Country X provides that fees for technical services is taxable in India @25% irrespective of the agreement being approved by the Central Government?
- (a) TDS of ₹ 5,20,000 by XYZ Ltd. and ₹ 3,50,000 by M/s PQR LLP
 - (b) TDS of ₹ 5,20,000 by XYZ Ltd. and ₹ 4,36,800 by M/s PQR LLP
 - (c) TDS of ₹ 5,20,000 by XYZ Ltd. and ₹ 3,64,000 by M/s PQR LLP
 - (d) TDS of ₹ 6,25,000 by XYZ Ltd. and ₹ 3,50,000 by M/s PQR LLP
5. What is the remedy available to the Mrs. Nile in respect of appeal which was decided against her on 15.03.2026?

- (a) She can file an application for revision to the Commissioner under section 264.
 - (b) She can file an application for rectification under section 154, if it is a mistake apparent from the record.
 - (c) She can file appeal to Appellate Tribunal under section 253
 - (d) She would be liable to pay penalty but cannot file the appeal against CIT(A) order because it is related to unexplained expenditure.
6. Whether Mr. Nylon is required to deduct tax at source on rent paid or payable to Mr. Amit? If yes, at what rate tax is to be deducted at source?
- (a) No, tax is not required to be deducted at source as Mr. Nylon is a non-resident
 - (b) Yes, tax is required to be deducted at source @2%
 - (c) Yes, tax is required to be deducted at source @ 2.08%
 - (d) Yes, tax is required to be deducted at source @ 10%

Case Scenario II

Mr. Kunal Verma, a resident individual and partner in a consulting firm, filed his return of income for the assessment year 2026-27 under section 139(1). During the previous year 2025-26, he sold listed equity shares through a recognised stock exchange on which Securities Transaction Tax was paid at the time of acquisition and transfer, resulting in long-term capital gains of ₹ 68,00,000. On 16.12.2025, he also sold a residential house property for ₹ 115 lakhs which he had acquired for ₹ 25 lakhs on 31.5.2011. Out of the sales proceed, he invested ₹ 30,00,000 in a new residential house. Share of profit and remuneration from the consulting firm was ₹ 2,50,000 and ₹ 35,00,000, respectively. Such remuneration is fully allowable as deductible u/s 40(b) in the hands of consulting firm.

Further, during the year, Mr. Verma purchased a foreign tour package for ₹ 28,00,000, on which tax was collected at source under section 206C(1G) and correctly reflected in his Form 26AS; however, he failed to claim credit for such TCS in the return of income and also did not properly disclose the transaction in the relevant schedule. The return was processed under section 143(1), wherein excess tax liability was computed due to incorrect treatment of long-term capital

gains, credit for TCS was not allowed, and interest under sections 234A, 234B and 234C was levied.

By the time Mr. Verma noticed these errors, the time limit for filing revised return under section 139(5) as well as for seeking rectification under section 154 had expired. Consequently, he filed a revision petition under section 264 before the Principal Commissioner of Income-tax, enclosing contract notes, investment proofs and Form 26AS, and contended that the mistakes were bona fide and had resulted in undue hardship. The Principal Commissioner, however, rejected the revision petition on the ground that once the assessee had consciously offered the income to tax, the return could not be altered by invoking the provisions of section 264.

Mr. Kunal Verma is paying tax as per section 115BAC(1A).

Cost Inflation Index for F.Y. 2011-12: 184; F.Y. 2025-26: 376

From the information given above, choose the most appropriate answer of MCQs 7 to 11:

7. Compute the amount of capital gains includible in the total income of Mr. Kunal Verma and tax thereon (ignore cess and surcharge, if any) for the A.Y. 2026-27:
 - (a) ₹ 1,00,66,304 and ₹ 15,84,375
 - (b) ₹ 1,28,00,000 and ₹ 15,12,636
 - (c) ₹ 1,26,75,000 and ₹ 15,12,636
 - (d) ₹ 1,01,91,304 and ₹ 15,28,261
8. Compute the total income and tax liability of Mr. Kunal Verma for the A.Y. 2026-27. Ignore TCS/TDS if any collected or deducted while computing tax liability:
 - (a) ₹ 1,63,00,000 and ₹ 25,62,590
 - (b) ₹ 1,61,75,000 and ₹ 28,62,640
 - (c) ₹ 1,39,41,304 and ₹ 26,52,290
 - (d) ₹ 1,35,66,304 and ₹ 26,48,390

9. What amount of tax deducted at source and tax collected at source can be claimed as tax credit by Mr. Kunal Verma while paying self-assessment tax for the A.Y. 2026-27?
- (a) ₹ 8,75,000
 - (b) ₹ 7,60,000
 - (c) ₹ 5,25,000
 - (d) ₹ 10,25,000
10. Which of the following statements are correct while processing return under section 143(1)?
- (i) Re-computation of long-term capital gains based on figures available in the return and schedules can be made if the claim is incorrect and apparent from the information furnished.
 - (ii) Credit of TCS reflected in Form 26AS must be allowed even if the assessee has neither claimed the credit nor disclosed the transaction properly in the return.
 - (iii) Levy of interest under sections 234A, 234B and 234C
- (a) (i), (ii) & (iii)
 - (b) (i) only
 - (c) (ii) & (iii) only
 - (d) (i) & (iii) only
11. Which of the following is the correct legal position with respect to reject of revision petition under section 264 before the Principal Commissioner of Income-tax?
- (a) The PCIT was correct, as section 264 cannot be invoked to correct mistakes committed by the assessee
 - (b) The assessee should have filed a rectification application under section 154 and revision petition cannot be filed under section 264
 - (c) The PCIT has the power under section 264 to grant relief even where the mistake is committed by the assessee

- (d) Once the time limit for filing a revised return expires, no relief can be granted under the Act
12. A search was conducted on Mr. A in March 2026, and proceedings under section 158BC were initiated. Consequently, the regular assessment proceedings for A.Y. 2024-25 were considered abated. The Assessing Officer completed the block assessment under section 158BC in December 2026. Thereafter, Mr. A filed an appeal, and in May 2027, the appellate authority annulled the block assessment. The annulment order was received by the Principal Commissioner on 30th June 2027. Which of the following statements is correct?
- (a) The annulment has no impact, since the block assessment was already completed.
 - (b) The earlier abated assessment for A.Y. 2024-25 will automatically revive with effect from 30th June 2027.
 - (c) The annulment of the block assessment permanently closes the right of the Revenue to reassess the income of the assessment years falling within the block period.
 - (d) The Assessing Officer must seek directions from the Tribunal before taking up the revived assessment.
13. M/s Strong Private Limited is a domestic company engaged in the business of manufacturing steel. The statement of Profit and Loss for the previous year ended 31st March, 2026 shows a net profit of ₹ 85.20 lakhs after debiting and crediting the following items:
- (a) Depreciation charged on property, plant and equipment - ₹ 10,15,000.
 - (b) Employer's contribution to EPF of ₹ 8 lakhs together with similar amount of employees' contribution for the month of March, 2026 was remitted on 20th July, 2026.
 - (c) Contribution of ₹ 1.50 lakhs to a scientific laboratory functioning at the national level with a specific direction for use of the amount for scientific research programme approved by the prescribed authority

- (d) Advertisement expenses include an amount of ₹ 55,000 paid by way of an account payee cheque for advertisement published in the souvenir issued by a political party on which appropriate tax was deducted.
- (e) The company has made provision for Gratuity based on actuarial valuation of ₹ 5 lakhs. Actual gratuity paid amounting to ₹ 1,20,000 during financial year 2025-26 was debited to provision of Gratuity Account.
- (f) Opening stock is overvalued by ₹ 10,35,000 and closing stock is also overvalued ₹ 8,85,000.
- (g) Dividend from a foreign company in which the company holds 30% equity share capital - ₹ 3 lakhs
- (h) Profit from the transfer of units of equity oriented funds - ₹ 7 lakhs. These units were acquired by company 2 years ago for ₹ 4 lakhs. STT has been paid on both purchase and transfer of such units.
- (i) The company lost cash of ₹ 5,00,000 due to theft when it was withdrawn from the bank and taken to administrative office. It is not insured and hence, fully charged as revenue expenditure.

Additional Information:

- (i) Depreciation on tangible fixed assets as per Income-tax Rules, 1962 - ₹ 8,50,000. This amount does not include depreciation on any assets which were acquired during the year.
- (ii) The company acquired a power generating plant on 01.07.2025 for ₹ 25 lakhs. The payment for the plant was from:

Date	Particulars	₹
1.06.2025	Advance payment for the plant (Paid in cash)	3,00,000
15.06.2025	Grant received from the State Government	7,00,000
01.07.2025	Remaining payment for the plant (through banking channel)	15,00,000

- (iii) The company paid ₹ 85,000 in cash to M/s Naveen Traders, a medium enterprise, on April 15, 2025 for purchase of raw material on March 31, 2025. There was no written agreement between the parties. The expenditure was allowed as deduction on due basis.
- (iv) A regular supplier of raw materials agreed for settlement of ₹ 14 lakhs instead of ₹ 18 lakhs for poor quality of material supplied during the last year.
- (v) The company distributed dividend of ₹ 1.50 lakh on 15th October, 2026 to its shareholders.
- (vi) The company has not entered into any international transaction during the P.Y. 2025-26. Turnover of the company for previous year 2023-24 was ₹ 350 crores.

Compute the total income and tax liability of M/s Strong Private Limited for assessment year 2026-27 giving brief reasons/explanations for the treatment of each item under regular provisions of the Income-tax Act, 1961. Ignore MAT.

Will it be beneficial for the company to opt for the concessional rates in assessment year 2026-27 instead of paying tax under regular provisions of the Income-tax Act, 1961.

14. Examine the following independent case scenarios of charitable trust/institutions based on the provisions of the Income-tax Act, 1961:

- (i) Sahitya charitable trust, having its main object as medical relief, earned the following income during the P.Y.2025-26:

Particulars		Amount in ₹
(i)	Income from tax free bonds issued by Indian Railway Finance Corporation Ltd. (IRFCL)	1,10,000
(ii)	Agricultural income	4,25,000

The trust claims exemption under section 10(1) and 10(15) in respect of its agricultural income, and interest income, respectively, without complying with the conditions laid down under section 11.

- (ii) "Vidya Jyoti Educational Trust" registered under section 12AB owns a building used for educational activities. During the year, one floor was given on rent to a private coaching institute owned by the wife of the founder of the trust. The trust charged rent of ₹ 20,000 per month, whereas similar properties in the same locality fetch rent of ₹ 70,000 per month. The trust justified the lower rent on the ground that the coaching institute supports educational objectives.
- (iii) "Aarogya Welfare Charitable Trust" is registered under section 12AB and is engaged in providing free medical facilities. During the Previous Year 2025-26, Mr. Karan contributed ₹ 75,000. Further, he had contributed ₹ 9,50,000 up to 31.3.2025.

During the same year, the trust sold old hospital furniture to Mr. Karan for ₹ 1,20,000. The fair market value of the furniture was ₹ 2,80,000. The trust claims that since Mr. Karan's donation during the current year does not exceed ₹ 1 lakh, he should not be treated as a specified person.

15. (i) ABC Bank, accepted a Fixed Deposit (FD) for a sum of ₹ 20 lakhs in the name of Registrar General of the Court and issued a Fixed Deposit Receipt (FDR). The said FD was made in compliance of a direction passed by this Court in Execution Petition. The fixed deposits were renewed periodically, and interest accrued thereon. The bank did not deduct tax at source on such interest on the ground that the Registrar General was only a custodian of the funds and the ultimate beneficiary of the deposits could be identified only after the final adjudication of disputes.

The Income-tax Department initiated proceedings and treated the bank as an assessee in default under section 201, alleging non-compliance with section 194A. Examine whether interest accrued on fixed deposits maintained in the name of the Registrar General pursuant to court directions attracts TDS under Section 194A.

- (ii) M/s GreenEarth Resources Ltd. is engaged in extraction and sale of forest produce and minerals. During F.Y 2025-26, it sold timber obtained under a forest lease to M/s BuildWell Infrastructure Pvt. Ltd. and sold scrap generated from such operations to a resident

scrap dealer. In the same year, it supplied coal to M/s PowerGen Ltd. for generation of electricity, against which PowerGen Ltd. furnished a declaration stating that coal would be used only for power generation and not for trading. Further, GreenEarth Resources Ltd. granted a licence to operate a toll plaza near its mining site to M/s National Highways Authority Ltd., a public sector company, for business purposes. All amounts were debited to the respective parties' accounts before actual receipt.

Examine the applicability or otherwise of collection of tax at source, in respect of each transaction.

16. The regular assessment of Ms. Preeti for the A.Y. 2023-24 was completed u/s 143(3) on 16-07-2025. On 18-01-2026, she received a notice issued u/s 148 for income escaping assessment for the A.Y. 2023-24. Further, on 25-03-2026, during the pendency of such proceeding for income escaping assessment, the A.O. attaches the house property of Ms. Preeti.

Now, aggrieved Preeti seeks your opinion (being a Chartered Accountant) as to:

- (i) The circumstances under which the A.O. can make provisional attachment of property of the assessee.
- (ii) The period of time for which such attachment can take place.
- (iii) Can such attachment be revoked by the A.O. and if yes, how?

Discuss the relevant provisions of law to satisfy the aggrieved assessee, Ms. Preeti.

17. Lime Inc is a company incorporated under the laws of Country X. The value of its global assets are ₹ 510 crores. The value of assets in India are ₹ 256 crores. Its turnover during the P.Y. 2025-26 is Country X \$ equivalent to ₹ 900 crores. Out of 10 board meetings held during the F.Y.2025-26, only 4 meetings are held in India. The key management and commercial decisions for conduct of the company's business as a whole are, however, made by the directors located in India at the meetings held in India.

Your client, Hide Rise Ltd, an Indian company, wishes to remit an amount towards professional fees to Lime Inc. on which tax is required to be deducted in India.

Determine the residential status of Lime Inc. for A.Y.2026-27 under the Income-tax Act, 1961. Advise Hide Rise Ltd as to whether tax on fees for professional services paid to Lime Inc. has to be deducted under section 194J or section 195.

18. Mr. Ricardo, a non-resident holding 10% of the units of a REIT, earned the following income distributed by the REIT during the P.Y.2025-26:

(i)	Rental Income from real estate property owned by REIT	2,51,000
(ii)	Interest Income of REIT from Grey Ltd.	86,000
(iii)	Dividend Income of REIT from Grey Ltd.	42,000

He acquired units in the REIT at an issue price of ₹ 15 lakhs. He does not have any other income during the year. During the P.Y. 2025-26, apart from interest, rental income, dividend income and the income taxable in the hands of REIT, ₹ 2 crore also distributed to its unit holders.

Grey Ltd. is an Indian company in which the REIT holds controlling interest. The REIT holds 100% of shareholding of Grey Ltd. Grey Ltd. does not exercise option under section 115BAA.

Examine whether the above components of the income distributed by REIT would be chargeable to tax in the hands of Mr. Ricardo. Also, examine whether the REIT is required to deduct tax at source on such income distributed to Mr. Ricardo.

Would your answer change if Grey Ltd. exercises option under section 115BAA for A.Y.2026-27?

19. Trex Ltd., an Indian Company, on 01-04-2024 has borrowed ₹ 90 crores from M/s Refine Inc, a Company incorporated in Country S, at an interest rate of 8% p.a. The said loan is repayable over a period of 12 years. Further, loan is guaranteed by Prestige Inc incorporated in Country P. Bright Inc, a non-resident, holds shares carrying 40% of voting power both in Trex Ltd. and Prestige Inc. Bright Inc has also deposited ₹ 90 crores with M/s Refine Inc. Trex Ltd. repaid ₹ 10 crores on 31.3.2025.

The net profit of the Financial Year 2025-26 of Trex Ltd. was ₹ 18 crores after debiting the above interest, depreciation of ₹ 4 crores and income-tax of ₹ 2.70 crores. For Financial Year 2024-25, disallowance under section 94B was ₹ 7.5 crores.

Trex Ltd. wants to know the amount of interest allowable as deduction under the head "Profits and gains of business or profession" for the P.Y. 2025-26.

20. Mr. Shrestha, a resident individual aged 34 years, furnishes the following information relating to the previous year 2025-26:

Gross receipts from business carried on from Jaipur - ₹ 26,00,000

Expenditure incurred in respect of earning such receipts (to the extent allowable as per the provisions of the Income-tax Act) - ₹ 3,50,000

Rent received in Country M in respect of a residential property situated therein - ₹ 95,000 per month.

Expenditure incurred in relation to current repairs and maintenance of the property - ₹ 5,25,000

Receipt from agricultural operations in Country M's companies - ₹ 18,00,000

Expenditure incurred in earning such agricultural income - ₹ 8,50,000

Dividend income from Country M - ₹ 4,20,000

The taxation regime of Country M provides the following:

- (i) Agricultural income is exempt in country M
- (ii) All other incomes (after providing for deductions for expenses) taxable at flat rate of 20%.

Compute total income and the net tax liability of Shrestha on the assumption that there is no DTAA between India and Country M and he has not opted out of default tax regime contained in section 115BAC(1A).